Chevron Over ExxonMobil as the War Premium Fades

Investor / Analyst Report · Energy: U.S. Integrated Oil
Data and analysis current through October 13, 2026

***Abstract*—**Brent crude is near $105 because of the Iran conflict, and the EIA expects most of that premium to fade by late 2027. We ask whether ExxonMobil (XOM) or Chevron (CVX) is the better holding for an investor who wants integrated oil exposure without betting on the war lasting. After normalizing cash flow to a no-war baseline, Chevron has the higher free cash flow (FCF) yield at $74 Brent (5.2% versus 4.9%) and in three of four scenarios. Exxon is the steadier stock if oil falls hard. **We prefer CVX**, unless oil settles below about $67.

1 QUESTION AND RECOMMENDATION

Question. For an investor adding a U.S. integrated oil major today, is ExxonMobil or Chevron the better choice when current oil prices carry a war premium that is expected to shrink?

Recommendation: prefer Chevron. Once the war windfall is stripped out, Chevron produces more free cash flow per dollar of market value (5.2% versus 4.9% at $74) and pays the higher dividend (3.3% versus 2.4%). That holds even though our model gives Chevron no credit for its Tengiz expansion. The cost is risk. Chevron's cash flow is more sensitive to oil, and Exxon has a hedge Chevron lacks: about 20% of its 2025 output came from Qatar and the UAE [4], and those barrels return as prices fall in a peace scenario. This is a relative call, not a claim that either stock is cheap.

2 BACKGROUND

Brent was $71 just before the conflict began in late February, passed $100 by mid-March [20], averaged about $104 in the second quarter [14] and $114 in September, and was near $105 on October 13 [13][21]. The EIA's October outlook sees $105 in late 2026, $84 on average in 2027 and $74 by late 2027 [13]. Both stocks are up roughly 30% or more this year [19]. Chevron closed its $53 billion Hess acquisition in July 2025, adding 30% of Guyana's Stabroek block [18].

Exxon's Middle East volumes cut its upstream earnings by $1.28 billion in the first half, about $1.03 billion of it in Q2 [5]; Chevron's regional exposure is about 1% of output [17]. Table 1 lists the inputs used throughout.

This matters for a buyer today because the share prices already reflect much of the windfall. The useful question is not which company is better run, but which one still earns its share price once $105 oil becomes $74 oil. Both report third quarter results at the end of October, which gives a near-term check on the analysis.

Table 1—Key inputs. CFO is operating cash flow excluding working capital. Sources in brackets.

Item	XOM	CVX
Share price, Oct 13, 2026 [16]	$173.24	$217.73
Market value (Q2 diluted shares) [1][6]	$722B	$430B
Dividend, annual / yield [1][6]	$17.2B / 2.4%	$14.0B / 3.3%
2025 CFO [2][7]	$59.7B	$34.9B
2026 capex guidance [2][9]	$27–29B	$18–19B
Sensitivity per $1 Brent [3][9]	~$0.70B	~$0.60B
Middle East share of output [4][17]	~20%	~1%

3 METHOD

Annualizing Q2 2026 cash flow would be misleading. Even after removing the oil price effect with each company's own sensitivity, Q2 implies about $19 billion (Exxon) and $23 billion (Chevron) more annual cash flow than 2025 actually produced. Much of the gap is war-inflated refining margins: Exxon puts each $1 of refining margin at about $800 million of annual earnings [5].

Instead we start from 2025 cash flow (Brent $69) and move it to each scenario price using the companies' disclosed sensitivities [3][9]. For Chevron we add the part of 2025 before Hess was acquired, +$2.9 billion from Hess's 2024 results [12], using an assumed $0.10 billion per $1 Hess sensitivity (zero or double moves Chevron's breakevens by about $1). Free cash flow subtracts capex of $28 billion (Exxon) and $18.5 billion (Chevron) [9]. Buybacks are tested at the same 2.8% of market value for both: Exxon's $20 billion plan and about $12 billion for Chevron. Scenarios are $60 (glut), $74 (EIA late 2027), $84 (EIA 2027 average) and $105 (war persists), where Exxon also loses $4.1 billion a year of Middle East volumes. We treat $74 as one input, not a forecast; the EIA moved its Q4 2026

view by $14 in one month [13]. The model credits neither company with growth after 2025 except Hess, which understates Chevron more.

4 RESULTS

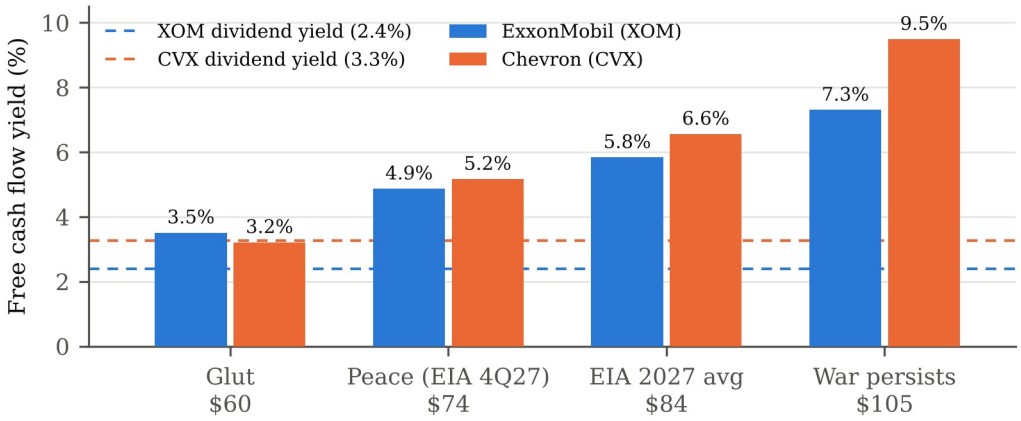


Figure 1—Free cash flow yield under four Brent scenarios, with dividend yields. Author's model.

Table 2—Annual free cash flow, and cash left after dividends before buybacks. Author's model.

Scenario	XOM FCF	XOM after div.	CVX FCF	CVX after div.
Glut, $60	$25.3B	$8.1B	$13.8B	$-0.2B
Peace, $74	$35.1B	$17.9B	$22.2B	$8.2B
EIA 2027, $84	$42.1B	$24.9B	$28.2B	$14.2B
War, $105	$52.7B	$35.5B	$40.8B	$26.8B

Chevron yields more at $74 (5.2% versus 4.9%), $84 (6.6% versus 5.8%) and $105 (9.5% versus 7.3%). Exxon wins only at $60. The two cross at about $67. The trade-off is volatility: from war to peace, Chevron's FCF falls 46% and Exxon's 33%. At $60, Exxon has $8.1 billion left after its dividend while Chevron roughly breaks even.

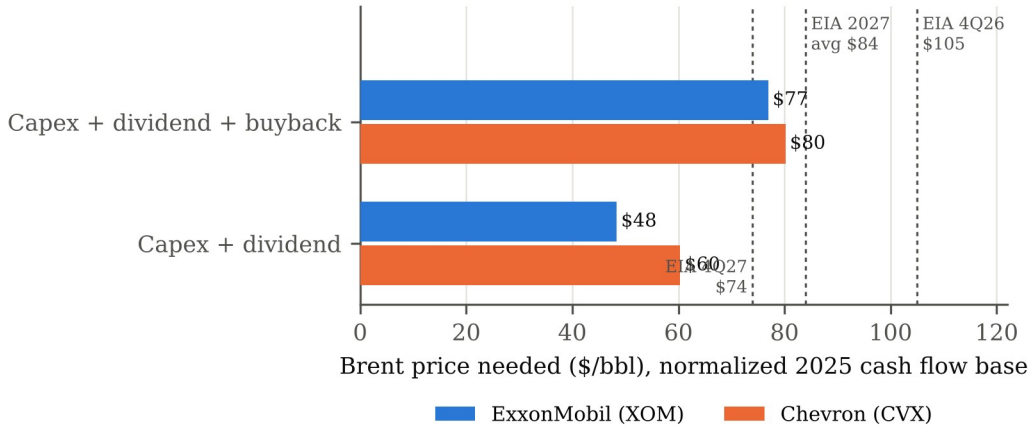


***Figure* 2**—Brent price needed to fund capex and dividend, and capex, dividend and a 2.8% buyback. Author's model.

Exxon covers capex and dividend at about $48 and adds its buyback at $77; Chevron needs $60 and $80. Both full payout programs need more than $74, so buybacks will likely shrink after the war or lean on the balance sheet, as Exxon's did in 2025 when it paid out $37.2 billion against $26.1 billion of free cash flow [2]. Chevron says its breakeven is below $50 [10], about $10 under our estimate. If management is closer to right, Chevron's lead is larger than Figure 1 shows.

5 ALTERNATIVES AND RISKS

The case for Exxon. It falls less when oil drops, its dividend is safe at $60, and its Middle East barrels act as a hedge. Investors expecting oil below about $67, or who care most about dividend safety, should prefer it. **Owning neither** is also reasonable: both stocks rallied on a windfall the EIA calls temporary, and a 5% peace-case yield is not a margin of safety.

Risks to the call. If Chevron's Q3 results imply normalized cash flow below our $37.8 billion, its lead shrinks. A fast ceasefire hurts Chevron more and returns Exxon's volumes; if those volumes never return, Exxon's peace-case yield drops to about 4.5%. A post-war glut below $60 is the scenario where Exxon wins, and Chevron's Tengiz output depends on the intermittently disrupted CPC pipeline [17]. Each $1 billion error in a company's base cash flow moves its breakevens by $1.40 to $1.70 a barrel.

6 CONCLUSION

The market is valuing both majors partly on wartime cash flow. Normalized, Chevron offers more cash and a higher dividend per dollar invested, even before credit for growth the model leaves out. Exxon is the safer stock if oil collapses. For an investor who wants the exposure and accepts the EIA's path, we prefer Chevron, and we would revisit the call after third quarter results.

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